

IN THE COURT OF APPEAL (CIVIL DIVISION)

Case No: CA-2015-008373

BETWEEN:

CROSSFIELD TRADING LTD

Appellant

- and -

NORTHERN COMMERCIAL BANK PLC

Respondent

APPELLANT'S SKELETON ARGUMENT

A. INTRODUCTION

1. The Appellant claims damages for breach of contract and negligent mis-statement arising from the Respondent's sale of interest rate hedging products that were unsuitable for the Appellant's needs and sophistication level.

B. RELEVANT FACTS

2. The Appellant is a small trading company with turnover of approximately £3 million annually.
3. In 2015, the Respondent sold the Appellant a structured collar interest rate swap with a 10-year term.
4. The Appellant was classified as a retail client but was not given appropriate protections.
5. The product resulted in break costs of £890,000 when the Appellant sought to refinance in 2019.
6. The Appellant was not informed of the potential magnitude of break costs.

C. LEGAL FRAMEWORK

7. The relevant statutory provisions are:
 - Financial Services and Markets Act 2000
 - Financial Services and Markets Act 2000 (Regulated Activities) Order 2001

D. SUBMISSIONS

8. The Respondent breached COBS rules by failing to ensure the product was suitable.

9. The Respondent misrepresented the nature and risks of the product.
10. The Appellant was wrongly classified as a professional client.
11. The break costs were a concealed and unfair term.

E. AUTHORITIES

12. The following authorities are relied upon:

- Crestsign Ltd v National Westminster Bank Plc [2014] EWHC 3043 (Ch)
- Green v Royal Bank of Scotland Plc [2013] EWCA Civ 1197
- Thornbridge Ltd v Barclays Bank Plc [2015] EWHC 3430 (QB)

F. RELIEF SOUGHT

13. The Appellant respectfully requests that this Court:

- Damages in the sum of £890,000
- Rescission of the swap agreement
- Interest and costs

Sarah Roberts KC

Sarah Hughes

5 April 2022

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